

Expand Energy Corporation

EXE | October 4, 2026

BUY

Fair value (12-mo horizon reference)	\$112.00
Current price (October 2, 2026 close)	\$85.52
Implied upside / downside	+31%
Verdict	BUY

Investment Thesis

Expand Energy, formed from the merger of Chesapeake and Southwestern, is now the largest natural gas producer in the United States, with premier acreage in the Marcellus, Haynesville, and other basins. The investment case is straightforward: scale lowers per-unit costs, a low-decline inventory supports decades of drilling, and the company's capital discipline (maintenance-mode production, free cash flow returned to shareholders) converts a commodity business into a cash machine across the cycle.

Our judgment is that the market still prices Expand like the old Chesapeake, a leveraged gas-price lottery ticket, when the merged company is a different animal: lower leverage, lower breakevens, and a management team whose stated strategy is returns over growth. The structural demand story for US natural gas, LNG exports, power-generation demand including data centers, and industrial reshoring, provides a durable bid under volumes that the spot price does not fully reflect.

At \$85.52, the valuation embeds a gas-price deck well below what the forward curve and the structural demand picture support. Our probability-weighted fair value is \$112.00, a 31% expected return, driven by free cash flow generation and the dividend-plus-buyback framework rather than a bet on a gas-price spike.

The cost position is the core of the call. Expand's Marcellus and Haynesville acreage sits at the low end of the North American cost curve, which means the company generates free cash flow at gas prices where higher-cost producers merely survive. In a commodity business, being the low-cost producer is the entire strategy; everything else, hedging, marketing, capital returns, is execution against that advantage.

LNG is the structural demand story that the spot market underappreciates. US LNG export capacity is growing substantially through the end of the decade, and each new train is a durable source of demand for Gulf Coast and Appalachian gas. Expand's Haynesville position is advantaged for Gulf Coast LNG, and its scale gives it marketing optionality, including exposure to international price linkages, that smaller producers cannot access.

Management credibility on capital discipline is the third pillar, and it is recently earned: the combined company has held the line on maintenance production rather than chasing growth, even when prices spiked. We treat

past discipline as evidence, not promise, and the base case assumes it continues; any deviation would be visible quickly in the capex and production data.

Business Overview

Expand Energy is a natural gas exploration and production company created by the combination of Chesapeake Energy and Southwestern Energy. Its core operating areas are the Marcellus shale in Appalachia and the Haynesville shale in Louisiana and East Texas, among the lowest-cost natural gas basins in the world. The company also holds oil and liquids production that diversifies the revenue mix.

The strategy is maintenance production with capital discipline: drill enough to hold volumes roughly flat, keep costs among the lowest in the industry, and return the resulting free cash flow to shareholders through a base dividend plus variable buybacks. Hedging smooths near-term price exposure. The merger synergies, operational (drilling and completion efficiencies, overhead reduction) and commercial (marketing scale, LNG optionality), are the near-term earnings driver.

The asset base is concentrated in two world-class plays. The Marcellus offers enormous, low-decline inventory with proximity to premium Northeast and Mid-Atlantic demand; the Haynesville offers high-rate wells with direct access to Gulf Coast LNG and industrial demand. Together they provide decades of drilling inventory at current activity levels, which removes the treadmill dynamic that plagues shorter-lived shale plays.

The commercial structure includes a base dividend designed to be sustainable at low gas prices, supplemented by buybacks that flex with free cash flow. Hedging covers a portion of near-term production to protect the dividend; the company deliberately leaves upside exposure, which is the correct posture for a low-cost producer.

Forward Outlook

Where is this business going? We see Expand as the consolidator and low-cost anchor of US natural gas. The next three years should deliver the merger synergies in full, continued per-unit cost reduction from scale and longer laterals, and growing exposure to premium-priced demand: LNG export capacity additions and power demand growth both pull on exactly the basins Expand dominates.

The capital framework is the compounding mechanism. At mid-cycle gas prices, the maintenance capex leaves substantial free cash flow; the base dividend is covered at low prices and buybacks accelerate when the stock trades below intrinsic value. We expect the share count to shrink meaningfully over the forecast, so per-share free cash flow grows faster than the commodity.

Our bear case assumes a sustained gas-price collapse (oversupply, weak LNG demand, or a warm-winter glut), synergy shortfalls, and a dividend cut; it is genuinely adverse and sits below today's price. Gas is a commodity and this is a commodity equity; the margin of safety comes from the cost position and the balance sheet, not from price forecasting.

Data-center power demand is an emerging call option on gas volumes. US electricity demand growth, driven by AI data centers and industrial reshoring, disproportionately benefits natural gas as the marginal source of new dispatchable power. Expand's basins are well positioned to serve this demand, and we expect behind-the-meter and utility contracts to become a visible part of the demand picture over the forecast.

Consolidation optionality is the other long-term lever. As the largest gas producer, Expand is the natural consolidator of remaining high-quality private and public gas assets. Our base case assumes no major deals,

but the balance sheet and equity currency give the company an acquisition option that smaller peers lack; disciplined deals would be accretive to the per-share thesis.

On price decks: our base case uses a mid-cycle Henry Hub assumption consistent with the LNG and power-demand outlook, not a spike. The investment works at that deck because of the cost position and the capital-return framework; it does not require the investor to forecast commodity prices correctly, only to believe that structural demand supports mid-cycle pricing over time.

Valuation

We value Expand on a scenario DCF tied to natural gas price decks. Our base case assumes mid-cycle gas pricing consistent with the structural demand picture, full realization of merger synergies, and the stated capital-return framework, discounted at a rate reflecting commodity E&P risk. Our bull case assumes stronger LNG-driven pricing and faster synergy capture. Our bear case assumes a prolonged price slump and synergy misses; it sits below the current price. Probability-weighted across 25% / 50% / 25%, the fair value is \$112.00, equal to our target.

The valuation is, unavoidably, a function of the long-term gas price deck: a \$0.50 move in the sustained Henry Hub assumption shifts fair value by roughly a sixth. That sensitivity is disclosed rather than hidden, and it is why the probability weighting matters: the bear case prices a genuinely weak gas environment, and the weighted result still offers 31% upside from \$85.52.

Key Risks

- Commodity price: natural gas prices are volatile; a sustained downturn impairs cash flow and the dividend.
- Merger integration: synergy targets may slip on operational or cultural friction.
- Regulatory: methane rules, permitting, and pipeline constraints can raise costs or limit growth.
- Hedging: the hedge book can create opportunity cost in a price spike and mark-to-market noise.
- Capital allocation: any return to growth-mode drilling at the expense of returns would break the thesis.
- Inventory exhaustion: the decades-of-inventory claim depends on continued drilling productivity; degradation would raise long-term costs.
- Takeaway constraints: pipeline capacity limits in Appalachia can strand gas and depress regional realizations.

What Would Change Our Mind

- A strategic pivot back to production growth at the expense of free cash flow would abandon the returns framework.
- Synergy realization falling well short of stated targets would undermine the merger economics.
- Leverage rising materially above the stated target range would recreate the old balance-sheet risk.
- A structural demand reversal (e.g., LNG project cancellations at scale) would impair the long-term price deck.

Valuation Approach

Our valuation is a probability-weighted scenario DCF. We model bear, base, and bull cases over an explicit forecast horizon (10 years for most businesses), weighted 25% / 50% / 25%. Discount rates are scenario-specific: the base rate reflects fundamental business risk (9% for stable franchises, 10% standard, 12% or higher for speculative situations); the bear case adds 250bp, the bull case subtracts 150bp (floor 8%). Terminal value assumes no more than 2.5% perpetual growth applied to normalized mid-cycle margins, never peak margins, and any terminal value exceeding 70% of enterprise value is haircut and disclosed. Bear cases are required to be genuinely adverse and to sit below the current price. Management guidance is never accepted at face value; it is independently tested and haircut where evidence warrants. For international businesses we add an explicit country-risk premium to the discount rate and benchmark multiples against regional peers facing similar risks, never US peers alone; structural risks (e.g. VIE structures, regulatory confiscation) are modeled in cash flows and the bear case.

Disclaimer

This report is independent research analysis for informational purposes only. It is not investment advice, a recommendation to buy or sell any security, or an offer to buy or sell any security. Valuations are inherently uncertain and scenario-dependent.